

impartial consultant (who of course makes his or her living not by recommending less, but by recommending more).

Such a methodology is fundamentally flawed, and has the obvious effect: The figures in these compensation grids almost always go up for the peer group, and almost never go down. Warren Buffett pungently describes the typical consulting firm by naming it, tongue in cheek, “Ratchet, Ratchet, and Bingo.” Until we pay CEOs on the basis of corporate *performance* rather than on the basis of corporate *peers*, CEO pay will, almost inevitably, continue on its upward path.

Finally, CEO compensation should have a contingent component. Incentive pay should be spread out over an extended period of years, and stock options should be phased in as well—for example, 50 percent exercisable on the first exercise date, with 10 percent exercisable annually over the subsequent five years. There should also be clawback provisions under which incentive compensation is returned to the company when earnings are restated downward. If CEOs are going to expose their corporations to aggressive strategies and high risks in order to win maximum compensation, whether based on intrinsic shareholder value or on stock price, then when the strategies backfire, shareholder value collapses, and the risks come home to roost (as tragically exemplified in the current financial crisis), executives should be required to pony up from their own earlier rich rewards.

Principals and Principles

Returning professional conduct to a more important role in business affairs will be no easy task. One avenue to pursue, curiously enough, was suggested by a mailing that arrived on my desk with a typographical error that I just couldn’t ignore. Sent out by the Center for Corporate Excellence to announce that General Electric would receive its Long-Term Excellence in Corporate Governance award, the flyer quoted GE president Jeffrey Immelt on the importance of “sound principals of corporate governance.”